

Fearnleys Dry Bulk Weekly

Nov 27, 2024

Bernhard Baardson

Capesize/Newcastlemax

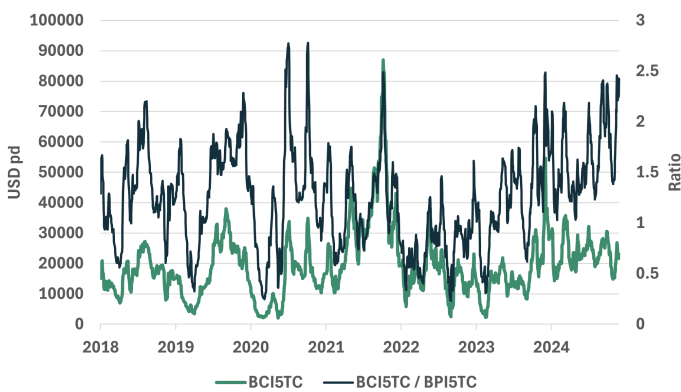
Last week, we wrote the following:

In our previous report two weeks ago, we opined that the ongoing rally was likely to peak at lower levels than the previous one in late September (30.598 USDpd).

The Capesize index ratio to the Kamsarmax index has risen to levels that often mean the top is in, which looks like will be the case given the last days sharp drop in physical and FFAs. China's imported iron ore consumption lead (lower right chart) suggests the market is entering a topping phase.

It seems like the market is going to drop further going forward. The BCI/BPI ratio remains high and the imported iron ore consumption lead points downwards.

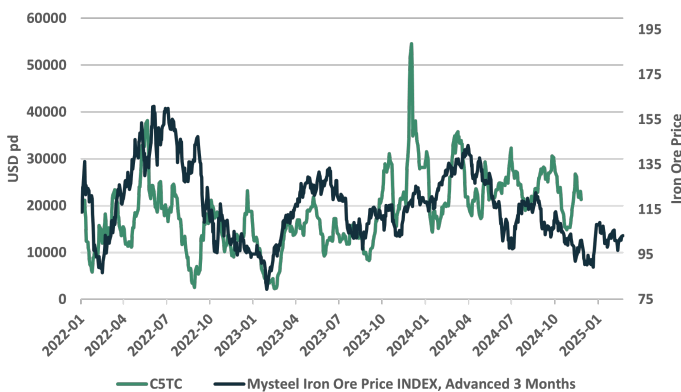
Capesize / Kamsarmax Ratio vs BCI5TC



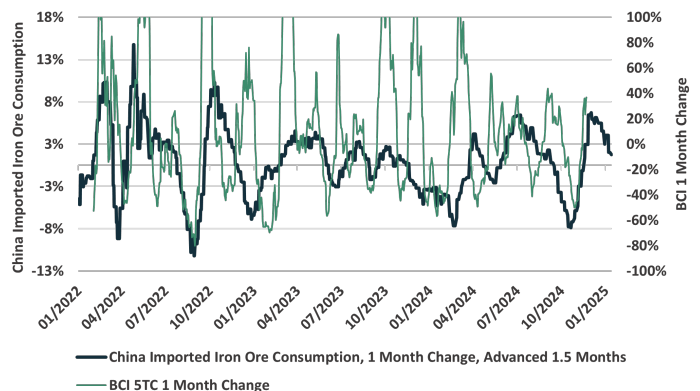
Capesize / Newcastlemax Laden With Iron Ore to China



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC

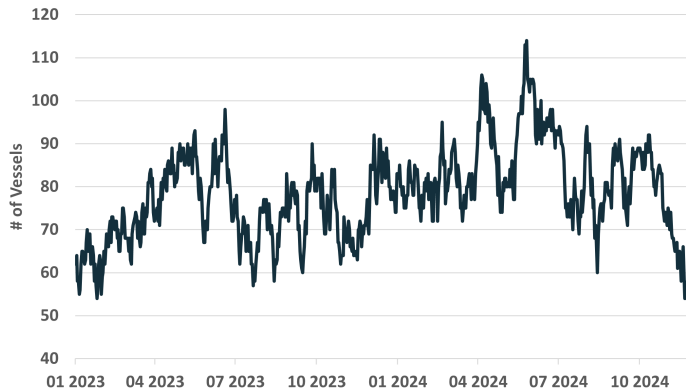


Panamax/Kamsarmax

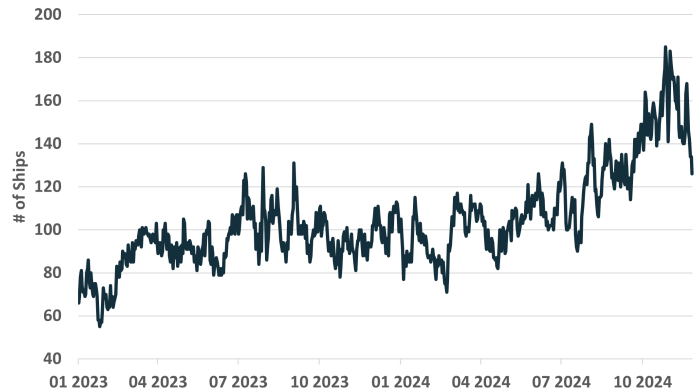
- Grain volumes in the Atlantic remain lower than the same period last year.
- Reports are that coal inventories at northern Chinese ports are high as domestic production has been relatively robust while mild temperatures have kept demand subdued. The count of vessels heading to China with coal has dropped significantly in the last weeks.
- The count of vessels heading to India with coal has dropped sharply in the last weeks and is lower than the same period last year.

It seems like the market weakness will continue going forward.

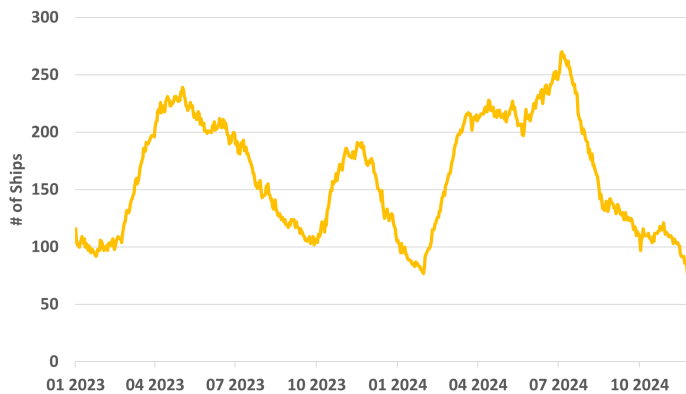
Panamax / Kamsarmax Laden With Coal to India



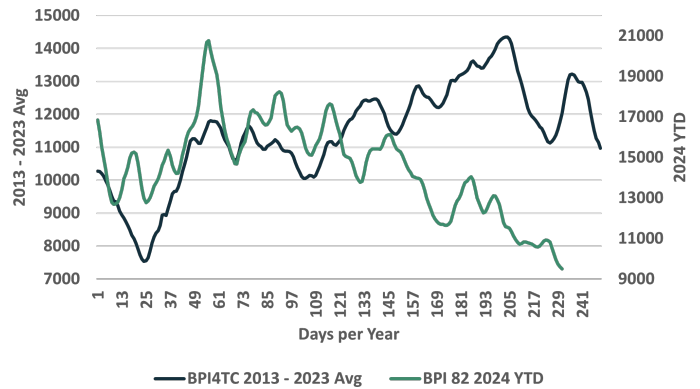
Panamax / Kamsarmax Laden With Coal to China



Panamax / Kamsarmax Laden With Soybeans to China



Panamax / Kamsarmax Seasonal Average



Supramax/Ultramax

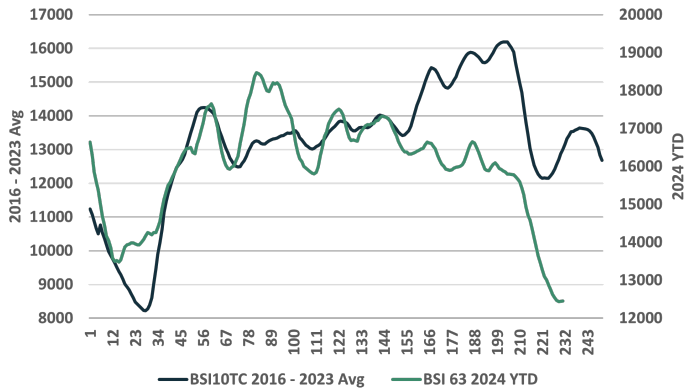
Last week we wrote the following:

Overall it is not a strong picture. Demand growth both in terms of shipment volumes and ton-time has dropped significantly in the last months, industrial metals prices have trended down since late September, and the Brazil+US grain season is weaker than last year.

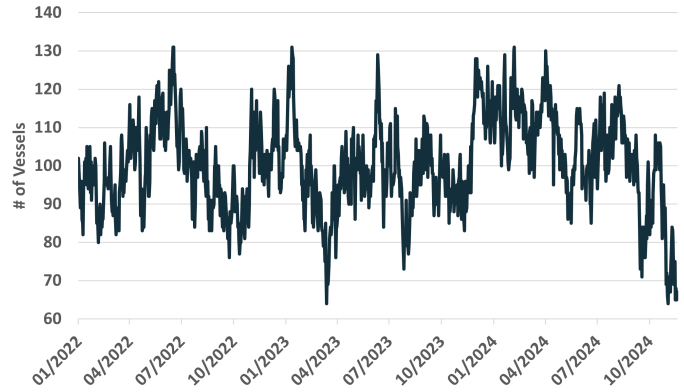
Seasonality suggests the market could bounce from current levels, but overall we expect the market to continue trending down until the beginning of February next year.

There is no change to the overall situation. Weakness likely to continue until after the Chinese New Year.

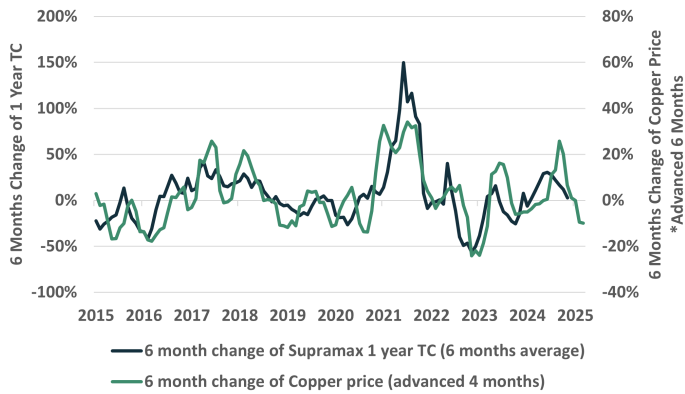
Supramax Seasonal Market Movement



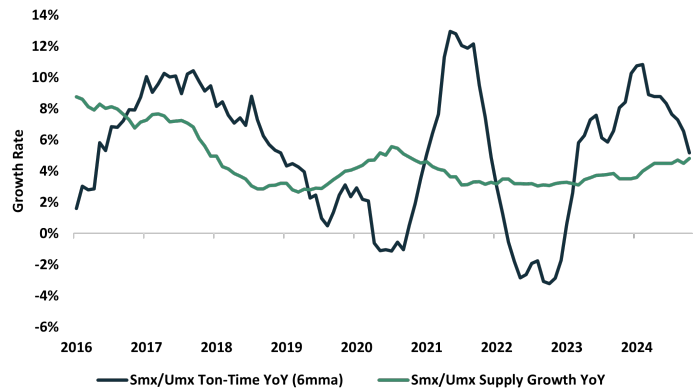
Supramax / Ultramax Heading to Brazil or the US



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Ton-Time Growth vs Supply Growth





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